

## **Question 1: CSR and Human Rights**

Distinguishing legal liabilities and social responsibility is not straightforward. This guide introduces stakeholders, explains current legal framework relevant to overseas subsidiaries, outlines corporate social responsibility and the maintenance of human rights, and concludes with the importance of these issues to stakeholders.

### **Who are stakeholders?**

Stakeholder theory holds that organisations do not just exist for the benefit of their investors alone, but represent the hopes, ambitions, and objectives of a wide variety of stakeholders (Open University, 2022). Stakeholders cover a wide variety of perspectives, and most organisations include the following: financial stakeholders, customers, employees, suppliers and contractors, partners, communities affected by an organisation's activities, the natural environment, non-human life, future generations, and regulators (Fenton-O'Creevy et al, 2023).

An alternative approach to wide reaching stakeholder considerations was outlined by Friedman (1970) who asked whether businesses have any responsibilities outside maximising profit and abiding by the rules. This view places emphasis on governments to enforce robust regulation.

In a recent podcast by Uvarova and Roorda (2023) it was suggested that states themselves are responsible for situations where corporations can exploit weak rule of law in less economically developed nations. They go on to suggest that the way the liberal economic trade system has been organised has been planned to legitimise exploitation in certain cases and is the product of a well-developed economic and political philosophy. From this perspective merely following state rules and chasing profit, as outlined by Friedman (1970), is highly likely to do harm. To be ethically responsible, therefore, businesses cannot take state motivations for granted and a wider approach to stakeholder considerations is more appropriate than merely obeying the law.

### **Corporate legal liability for subsidiary business activity**

An artificial legal personality is created when an organisation is incorporated, this is appealing to shareholders as it separates their liabilities from that of the organisation. For example, an incorporated organisation with legal personality accumulates its own debts for which shareholders are not liable, as adjudicated in *Salomon v A Salomon & Co Ltd* [1897] A.C. 22, but they might be able to gain from the success of the organisation if it is able to pay dividends or if they sell the shares at a higher price in future.

Legal liability usually requires proof of commitment of an unlawful act by a transgressor, and what their intention was in carrying out this act. For individual

cases, this can focus on the perpetrators state of mind considering whether a transgression is deliberate or a consequence of negligence. In the case of corporate transgressions liability failures are often systemic, and diffuse managerial responsibilities have made it difficult to hold incorporations and individuals criminally responsible. In the developed world this problem has led to the 'strict liability' approach whereby the intention of the perpetrator is irrelevant once a transgression has been identified, particularly in relation to public safety and environmental misdemeanors. This type of regulation is often absent in developing nations (The Open University, 2022).

Subsidiary companies are often established by large organisations to help assign responsibilities and to reduce the risk associated with overseas activities. The separate legal status of a parent company from its subsidiary provides the opportunity for it to benefit from exploitation by a subsidiary with little risk of being held accountable either in the developing country or in the 'home' country of the parent company. This has been referred to as the veil of incorporation (The Open University, 2022).

The liability of parent companies for their subsidiaries has a somewhat inconclusive historical context. In *Adams v Cape Industries Plc* [1990] Ch 433 it was ruled that judgments in the US against subsidiaries of Cape Industries Plc (based in the UK) could not be enforced against its parent company based on an assessment that the subsidiaries were separate legal entities. In more recent cases courts have moved towards examining the relationship between the parent and its subsidiary, therefore increasing accountability of parent companies towards the activities of their subsidiaries. In *Chandler v Cape plc* [2012] EWCA Civ 525 the Court of Appeal held that in appropriate circumstances, the law may impose on a parent company responsibility for the health and safety of its subsidiary's employees (Open University, 2022).

This case was referenced in *AAA v Unilever Plc* [2017] EWHC 371 (QB). The claim by employees of a Kenyan subsidiary of Unilever (UTKL) that there was a breach of duty of care in failing to adequately protect them from raids was rejected due to the inability to foresee such events. It was stated that there was sufficient connection between the activities of Unilever, the ultimate holding company of UTKL, and the damage suffered by the appellants to satisfy the proximity test. This test was examined in subsequent appeal proceedings (*AAA v Unilever Plc* [2018] EWCA Civ 1532). In this judgment, statements from subsidiary management did not show that UTKL relied on advice from Unilever. The judge concluded that there was insufficient evidence to demonstrate the influence of Unilever and the appealed case was dismissed on this basis, and the original judgment of foresight wasn't examined.

The appeal case provided an application of the proximity test summarised as follows:

As a parent company might have greater scope to intervene in its subsidiary's activities than any other third party, it might have taken action (or intervention) which could subsequently allow the duty of care to be applied to them. Two basic types of relevant intervention were outlined:

*(a) where the parent had in substance taken over the management of the relevant activity of the subsidiary in place of, or jointly with, the subsidiary's own management; and*

*(b) where the parent had given relevant advice to the subsidiary about how it should manage a particular risk.*

In future legal liability of parent companies to their subsidiaries should be assumed if either of the two interventions outlined could be shown.

### Importance of Corporate Social Responsibility (CSR)

Carrol (1979) identified four categories of responsibility: economic, legal, ethical, and discretionary (or philanthropic) activities. It is now generally considered that a business must consider economic and legal matters to even exist, and the realm of CSR generally considers ethical and philanthropic scope, it is generally regarded as voluntary (The Open University, 2022). The boundary between obeying the law and doing what is expected by society can be a complex issue, often varying culturally, between jurisdictions and subject to changes over time. Smolović Jones (2023) suggested that it is often difficult to know where CSR begins and where legal responsibility ends, referencing Sheehy (2015). Ethical expectations can underpin the emergence of new laws (Voiculescu and Yanacopulos, 2011), so maintaining good CSR standards can ensure future legal compliance can be maintained easily.

CSR is a response to external pressure to do the right thing (meeting societies expectations), or from investors who view good ethical behaviour as beneficial in widening market access. Advocates of CSR argue that corporations, being treated as a separate legal entity, must also have ethical responsibility (The Open University, 2022). There are several international frameworks that organisations can use to voluntarily disclose CSR related activity, including those by the Global Reporting Initiative (GRI) and the Dow Jones Sustainability Index (DJSI). The disclosures an organisation makes and its motivations for doing so are linked to how it prioritises its stakeholders.

### How CSR relates to Human Rights

Human rights have become international social norms to which many businesses now subscribe (Voiculescu and Yanacopulos, 2011). In many societies compliance with human rights is a bare minimum to maintain social license to operate, and it would be difficult to argue that a business is demonstrating good CSR if they were found to be in breach of them. In the

categories identified by Carrol (1979), complying with human rights can be considered an ethical responsibility. In many countries compliance is legally enforceable through state legislation, such as the UK Human Rights Act (1998). Human rights compliance is not currently mandatory from a legal perspective worldwide due to the complexities in developing legally enforceable, global legislation (Voiculescu, 2011).

The increasing global nature of supply chains and resulting disconnect between producers and consumers has increased the need for a global code of norms, beyond the traditional setting of state, or locally relevant, jurisdiction. Due to their widespread adoption human rights probably provide the most promising route towards this although, as Voiculescu (2011) outlined, the pathway to establishing enforceable international law is proving challenging.

Human rights concepts have been discussed for centuries and usually recognise the need to protect human freedom and dignity (The Open University, 2022). A key milestone was the UN Universal Declaration of Human Rights (1948) following the second world war, providing international state recognition of the need to protect certain rights. This idea is not unanimous, for example leaders in China and Pakistan have stated that some freedoms of citizens need to be sacrificed to protect economic and societal stability, but this argument has been countered by pro-democracy campaigners who suggest this view is about imposing political power (BBC, 2002).

Another challenge to current human rights legislation is that they are designed to operate on the presumption that the current economic system should continue. This system contains inherent inequalities and business models that rely on exploitation (Uvarova and Roorda, 2023).

#### Impact of CSR on stakeholders

Different stakeholders are impacted by CSR in various ways. Stakeholders such as shareholders with only financial concerns might see CSR as an obstacle to maximising profits through increased costs, whereas living conditions for future generations are influenced by an organisation's consideration for the environment. Acca (2018) explained how stakeholders' expectations of an organisation vary, as do their ability to make claims. Future generations are not able to directly push environmental discourse whereas shareholders can directly demand maximisation of profits.

Most business decisions are likely to involve some kind of trade-off between stakeholder interests, with some benefitting and others suffering. Mendelow (1991) provided a framework to understand the influence of stakeholders by considering their interest in, and power over, an organisation. Assessing these measures is challenging, however. From this idea it can be understood that future generations have no power (or influence) unless it is imposed indirectly through legal or CSR mechanisms. Legal mechanisms cannot cover every

aspect of morality which is where, for certain stakeholders, good CSR is the only way to ensure their interests are considered.

The relative importance of each stakeholder to an organisation is influenced by the type (ie commercial business, state owned, or voluntary) and subject to interpretation. Good CSR imposes an obligation on a business to minimise negative impacts across all stakeholders even if, for example, the proximity test to subsidiaries is not met from a legal perspective.

### **Question 2: Personal Reflection**

In terms of developing my cognitive skills, this assignment has provided analysis of legal, CSR, and stakeholder research and I have been able to consider several texts and used my understanding to provide what I feel could be a useful guide. I do not have the capacity to cover all the literature that could have been reviewed and given more words and time the critical analysis of several concepts could have been elaborated in more detail.

In terms of a conceptual delivery framework, I used titles to organise the answer to question 1. This was to try and make sure the content closely followed the question and to provide the reader with logical breaks for thought whilst the guide was developed. As the impact of CSR on stakeholders brings together all topics covered in this question I felt this provided the logical conclusion to the discussion. Module advice required an essay style of writing which may be a feature of legal learning, I have found this volume of text overwhelming at times and am more comfortable breaking up information into small, digestible bullet type narrative. This answer might have found better ways to differentiate evidence based and normative arguments and there is no distinguishment between quantitative and qualitative evidence.

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